7. ASSET LIABILITY MANAGEMENT POLICIES

7.1 Philosophy

This policy is intended to serve as a guide for all other bank financial policies and guidelines. The framework and philosophy herein provides direction for decisions regarding loan and deposit pricing, investments, borrowings, fees, and operating expenses. Implementation of this policy assists management in maintaining a balance between the nature of portfolio assets and liabilities, minimizing expenses, appropriately managing risk and sustaining strong levels of liquidity and capital.

The goal of this policy is to establish formal review and decision-making procedures so that sufficient earnings can be achieved, regardless of changes in interest rates, while properly managing risk. Through earnings the bank can grow the level of capital necessary to sustain superior client service and asset growth.

7.2. Asset-Liability Management Committee (ALCO)

7.2.1. Authority for Asset-Liability Management

The Board of Directors is ultimately responsible for the asset-liability management of the bank.

The Board delegates operational authority for asset-liability management to the President/CEO who, with advice from the Asset Liability Management Committee (ALCO), will make day-to-day asset-liability management decisions in accordance with this policy, while considering the other policies, goals and plans approved by the Board of Directors.

The Board of Directors has charged the ALCO with the responsibility of implementing internal asset-liability decision-making mechanisms, as well as communications and control procedures that can be used to aid in the management of net income, capital and risk. These mechanisms and procedures result in liquidity and capital planning, asset & liability mix management, and pricing policies.

7.2.2. ALCO Meeting Agenda, Minutes, and Recommendations

The ALCO meets monthly to review and make decisions based on the following information:

7.2.2.1. Financial performance ratios and operating standards

7.2.2.2. Proforma financials for the current quarter compared to previous periods
7.2.2.3. Loan and Deposit pricing with comparisons to market
7.2.2.4. Liquidity position
7.2.2.5. Asset and Liability portfolio mix
7.2.2.6. Loan Servicing Portfolio
7.2.2.7. Maturity distribution of certificates of deposit, loans, and investments
7.2.2.8. Current interest rate outlook
7.2.2.9. Current and anticipated cash flow
7.2.2.10. Other Reports as necessary

The preceding list constitutes the typical agenda for an ALCO meeting. Topics may be added or deleted as necessary.

On a quarterly basis the committee will review the following reports in addition to the monthly reports

7.2.2.11 Gap Analysis
7.2.2.12 Projected 12-Month financials
7.2.2.13 Projected Key Ratios
7.2.2.14 Margin Forecast
7.2.2.15 Projected Credit and Liquidity Risk
7.2.2.16 Interest Rate Sensitivity
7.2.2.17 Economic Value of Equity (EVE)
7.2.2.18 Peer Comparison

The preceding list constitutes additional typical agenda items for a quarterly ALCO meeting. This additional information is provided by a third party vendor based on information from the bank's general ledger and general model assumptions that are documented in the reports provided. Model assumptions are reviewed annually by the ALCO committee.

Minutes from the ALCO meeting, as well as any recommendations, are presented at the following Board Meeting. The Board may at any time reverse or amend an action of the ALCO committee.

7.3. <u>General Policy of ALCO</u>

7.3.1. <u>General Goals</u>

7.3.1.1. To provide the high quality products and services to meet the needs of our clients and shareholders at , competitive prices in accordance with the Vision/Mission, Three-Year Business Plan and Annual Corporate Objectives.

7.3.1.2. To invest excess funds in a prudent manner that provides returns on those investments that will contribute to capital growth and financial stability at the same time providing a source of liquidity when required.

7.3.1.3. To safeguard the assets of our clients and shareholders and adequately manage risk.

7.3.1.4. To manage the balance between the maturity and re-pricing of the bank's assets and liabilities. See Interest Rate Risk Policy for further details.

7.3.2. <u>Legal Compliance</u>

All policies and practices governing asset-liability management shall be in full compliance with all applicable state and federal laws, rules, and regulations.

7.3.3. <u>Objectives and Targets</u>

7.3.3.1. The bank has three major objectives for successful asset-liability management.

7.3.3.1.1. Maintenance of adequate liquidity.
7.3.3.1.2. Optimization of return on assets.
7.3.3.1.3. Management of adequate capital and reserves.

All financial institutions assume some amount of risk as part of normal operations. It is the policy of the Bank to manage and control the amount of risk it assumes according to policies and procedures that are consistent with the short and long-term strategic goals of the Bank. The primary objectives of the Bank's asset/liability management process include:

Consistent earnings growth and capital ratios within acceptable and controllable levels considering the following five main risks:

- Interest Rate Risk (IRR) - risk that changes in prevailing interest rates will adversely affect the earnings stream of the Bank. This includes interest income and dividend expense effects.

- Price Risk (also called Valuation or Market Risk) - risk that changes in prevailing interest rates will adversely affect assets, liabilities, and capital, at different times, or in different amounts. Price Risk is the economic value of equity effect due to changes in Interest Rates and other market factors both internal and external to the Bank.

- Liquidity Risk - risk that not enough cash will be generated from either assets or liabilities to respond to the needs of our clients, to satisfy our financial obligations or to access unanticipated earnings enhancement opportunities.
- Credit Risk - risk that some loans and investments may not be repaid (default risk);
- Yield Curve or Mismatch Risk - risk of adverse consequences from a change in interest rates that exists due to differences in rates, maturities and optionally of the Bank's assets and liabilities.

7.3.3.2. Asset-liability and performance goals are based on the Bank's one and three year business plans.

7.3.3.4 Asset Liability Committee Duties

The items cited below do not necessarily represent an all-inclusive list of the ALCO's duties, given the dynamic nature of its responsibilities. On a regular basis, the ALCO should:

Hold a formal meeting (usually once a month). Informal meetings will be held on an as needed basis.

Monitor and discuss the status and results of implemented asset/liability management strategies and tactics.

Review the current and prospective liquidity positions and monitor alternative funding sources.

Establish and update interest rates and service charges for all products of the Bank.

Review measurement reports on various risks that can be measured with a reasonable degree of effort. Compare simulated exposures of these risks to policy limits. Discuss and report on the impact of major funding shifts and changes in overall investment and lending strategies.

Review the current and prospective capital levels (risk-based as well as leverage capital ratios) to determine sufficiency in relation to expected growth, interest rate risk, price risk, and asset/liability mix and quality.

Review outlook for interest rates and economy at both local and national levels.

Develop alternate strategies as deemed appropriate, which take into account changes in:

- National and local monetary and fiscal policy,
- Banking regulations,
- Interest rate levels and trends, and
- Deposit and loan products and related markets.

Report the minutes each month to the Board of Directors

Also, the ALCO will remain aware of the overall financial performance of the Bank and, therefore, will monitor significant changes/trends in its financial results. In this regard it may:

- Review actual net interest income and asset/liability mix versus budget.
- Measure performance against established strategic plans and, if appropriate against peer group data.
- Review the level and makeup of non-earning assets.
- Given the importance of the ALCO in the management of the Bank’s balance sheet and related earnings stream, the ALCO will review the annual budget and performance to budget.

7.3.4. Importance of Core Deposits

Core deposits are those which characteristically neither run-off nor change dramatically from month-to-month. Generally, savings, money market and checking deposits are considered core deposits. In addition, certificates of deposits up to the federally insured limits are also considered core.

7.3.5. Annual Budget Review

The Board, with advice from management, has responsibility for reviewing the budget throughout the year. At each Board meeting, balance sheet and income statement budget variance reports are reviewed, with explanations from management, followed by any recommended corrective actions.

7.3.6. Strategic Business Plan

The direction of asset-liability management is a result of the Bank's strategic long-range plans and objectives. The approved business plan is used by the bank to prepare a detailed annual budget for Board approval.

7.3.7. Liquidity Factors

The bank actively manages the composition of assets and liabilities to maintain the appropriate level of liquidity. Liquidity is the measure of the bank's ability to meet both the borrowing needs and savings withdrawal needs of its clients. It is also a condition of day-to-day cash management planning. Accordingly, adequate funding sources such as investments readily converted to cash**,** and lines of credit will be maintained. The bank maintains alternative sources of cash through established Fed funds purchase lines of credit and the availability of short and long term advances from the Federal Home Loan Bank. The following relationships will be reviewed to determine that liquidity levels do not fall below or exceed these specified limits:

- Loan to Deposit ratio below 150%
- Available credit at FHLB above 5% of total assets
- Liquidity ratio above 5%

7.3.8. Deposit Mix Targets

Certificates of Deposit 40%-55%
Money Market Accounts 15%-35%
Checking Accounts 15%-30%
Savings Accounts 5%-15%

7.3.9. Funding Considerations

Funding of rate sensitive assets with rate sensitive liabilities will comply, to the extent possible, with the matching principle, in which maturities and re-pricing periods of assets correlate to those of the underlying funding source (liabilities). It is understood there can never be a perfect match of assets and liabilities, but the ALCO will focus on the impact of interest rate sensitivity on at least a quarterly basis.

7.3.10. Implementation of Review Policy

The asset-liability management policy shall be formally reviewed by the Board of Directors, with revisions or modifications as necessary, on at least an annual basis.

7.4. Approach to Management and Board Reporting

7.4.1. Information provided to the Board of Directors

Under this policy, the Board of Directors will receive the following data in the board package on a monthly basis:

7.4.1.1. Current condensed balance sheet with comparison to budgeted goals
7.4.1.2. Current condensed income statement with comparison to budgeted goals.
7.4.1.3. Detailed balance sheet and income statement.
7.4.1.4. Deposit and loan mix comparison reports.
7.4.1.5. Other reports deemed appropriate.

Under this policy, the Board of Directors will receive the following data in the board package on a quarterly basis:

7.4.1.6 Interest Risk Sensitivity report
7.4.1.7 Economic Value of Equity report